

Long Okta

Price: \$64.09 | Base Case: \$111 | Bear Case: \$76 | April 15, 2026

Everyone thinks Okta is losing. The stock is down 37% from its recent high. That narrative is wrong and the 20% drop over the last week had nothing to do with Okta's business. Growth slowed from 40% to 9%. Microsoft gives away a competing product for free. The narrative is simple: Okta is a single sign-on company in decline, slowly being eaten by a larger predator. That narrative is wrong.

What Just Happened

Between April 7 and April 15 Okta's stock dropped from \$80 to \$64. The cause had nothing to do with Okta. Anthropic announced an AI model capable of autonomously discovering software vulnerabilities. The entire cybersecurity sector sold off on fears that AI could make traditional security software obsolete. Cloudflare fell 13%. Palo Alto fell 8%. CrowdStrike fell 4%. Okta fell 20%, hit hardest because low-multiple names get liquidated first in panic rotations. Simultaneously tariff escalation drove a broad tech selloff. The Nasdaq dropped 3-4% on multiple days. Okta reported nothing new between April 2 and April 15. No earnings miss. No guidance cut. No customer loss. The stock now trades at 2.9x forward revenue, below our original bear case multiple of 3.5x. Same catalyst. Lower price. The setup is actually better.

What Okta Actually Is

Most investors look at Okta and see a login company. You put in your username, Okta checks if you're allowed in, you get access. Simple. Commoditizing. Replaceable. That's not what Okta is. Okta processes 45 billion authentication events every month across 19,000 enterprise customers. It connects to 7,000 different software applications. It works equally well whether your company runs on Amazon, Google, or Microsoft. It is the neutral identity fabric that sits underneath everything, the infrastructure layer that every enterprise depends on to know who is allowed to do what. That's not a login company, that's infrastructure.

The Thing Everyone Is Missing

Here's what's happening right now that the market hasn't priced. Companies are deploying AI agents everywhere. Software robots that book meetings, analyze data, process orders, write code. These agents need to log into systems. They need access to data. They need permissions. They are, in identity terms, new employees, except there are 82 of them for every human employee on the conservative estimates and most companies have no idea how many they have or what they're doing. Okta's own research found that 91% of organizations are already using AI agents. Only 10% have a governance strategy. 88% have already experienced a security incident from those

agents. I spent time this week speaking with identity security practitioners who have built products at the frontier of this market, professionals with direct experience at companies like Silverfort and Cyera, operating at the intersection of machine identity and enterprise security. Their assessment was unambiguous: machine identity is already a top enterprise priority. Not a future concern. Not a roadmap item. A current emergency. One of them described Okta's April 30 product launch as a must.

April 30

On April 30, Okta launches Okta for AI Agents, a product that lets enterprises discover, govern, and secure their AI agent populations the same way they govern human employees. Shadow agent discovery. Agent registration. Privileged credential management. A kill switch that can instantly revoke all access tokens if an agent goes rogue. The CEO called it the most crucial product in Okta's history. And he said this about Q4, the quarter before the product even launched: "They had an absolutely incredible quarter considering Okta for AI Agents is not even generally available yet." The product isn't out yet and it's already working.

Why The Stock Is Cheap

Okta now trades at 2.9x forward revenue, below our original bear case multiple of 3.5x. Its peers trade at 9.6 times on average. CrowdStrike trades at 16 times. Even Palo Alto, which the market once dismissed at 4.5 times, now trades at 12 times after its platform strategy proved out. The discount exists because Okta grows at 9% while peers grow at 20%. That's a legitimate reason for a discount. But 2.9 times versus 9.6 times is not a 9% growth discount. That's a broken company discount. And Okta is not a broken company. Okta generates \$800 million in free cash flow annually. It achieves Rule of 40, the benchmark that defines a healthy software business, every single year since going public. It just announced a \$1 billion share buyback because management believes the stock is undervalued.

The most bearish analyst on Wall Street has a price target of \$75. Our bear case is \$76. The maximum downside is already in the price.

The Historical Pattern

This has happened before. Datadog compressed from 130% NRR to 110%, the same compression Okta is experiencing, and the stock rallied 62% from its trough before NRR actually recovered. Because the market started pricing the new product pipeline before the numbers showed up in the lagging metrics. Palo Alto traded at 4.5 times revenue when the market dismissed their platform strategy as margin-destructive. It re-rated to 12 times when new product attach proved the thesis. Same sector. Same buyer. Same skepticism. Same catalyst type.

Our base case assumes only 5.5 times. We are not asking for a miracle. We are asking for modest recognition that Okta is a platform company, not a password manager.

Where We Disagree With Wall Street

75% of analysts rate Okta a buy. The consensus price target is \$100. We're at \$111.

The disagreement is not about the business. On growth, profitability, NRR trajectory, and Microsoft risk, we broadly agree with consensus. The disagreement is about timing.

The street says wait for AI revenue visibility. We say that's too late. The stock re-rates when AI agent deals become visible in the forward backlog, not when they show up in revenue. That visibility starts April 30 when the product launches and enterprises begin signing contracts.

Cases

Bear case — \$76 (+19% from current price): Multiple recovers to 3.5x from the current panic-driven 2.9x. No AI monetization. FCF and buyback create the floor.

Base case - \$111 (+73% from current price): Multiple expands to 5.5 times as AI agent products hit cRPO in FY27. Partial recognition that Okta is a platform, not a commodity.

Bull case - \$146 (+128% from current price): Full platform re-rating to 7.5 times as AI agents become a material revenue driver by FY2028-2029. NRR recovers toward 115%. Growth re-accelerates. The asymmetry is the investment. Six percent down. Thirty-eight percent up in the base case. Eighty-two percent up if the AI agent thesis fully plays out.

The Risk

The bear case is real. Microsoft's bundling pressure is structural in the mid-market. Growth may not re-accelerate if AI agent products fail to gain traction. NRR has been flat at 106% for four consecutive quarters. A 2.5 times multiple, the Twilio path, where profitability improved but no second act emerged, implies \$58, a 28% drawdown. The answer to that risk is April 30. The recent sector-wide selloff has already stress-tested the downside, at \$64 the stock trades below the most bearish analyst target on Wall Street. Further fundamental downside from here requires a scenario worse than the worst professional bear case. Either AI agent products begin generating pipeline, in which case the thesis plays out, or they don't, and you reassess at Q1 FY27 earnings in June. The position has a clear test and a clear exit condition.

Why Now

The stock is at a multi-year low, not because anything changed about the business, but because an AI panic and macro tariff selloff hit the entire cybersecurity sector simultaneously. Okta got hit hardest because low-multiple names always do in panic rotations. The most important product in the company's history launches in 15 days. The most bearish analyst on Wall Street has a \$75 target, the stock is now below that. At 2.9x forward revenue the market is pricing in permanent impairment of a business generating \$800 million in annual free cash flow.